

# Payroll

## for Odoo 20 Community Edition

Setting payroll up, running the month, posting it to the books and paying the salaries — with Odoo Mates HR Payroll and Payroll Accounting.

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Six parts, from an empty payroll to a month paid and posted.

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# Before you start

## 1.1 What this app installs

**Odoo 20 HR Payroll** brings payroll to Odoo 20 Community Edition: salary structures and rules, allowances and deductions kept as data rather than code, rates and tax tables that change with the date, payslips computed from the contract and the time off, payslip batches, and the payslip printed or emailed.

**Odoo 20 HR Payroll Accounting** adds the accounting side: an entry per payslip or one consolidated entry for a whole batch, the salaries payable reconciled with the payment of each employee, and the payment status carried back onto the payslip. Install it when payroll has to reach the books — which is almost always.

### GOOD TO KNOW

Payroll depends on **Time Off** (hr\_holidays), because the unpaid days of a period come from the time off of the employee. Payroll Accounting additionally depends on **Accounting**.

## 1.2 Who can do what

| GROUP           | WHAT IT ALLOWS                                                                                                                                               |
|-----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Payroll Officer | The daily work: contracts, payslips, batches, the reports.                                                                                                   |
| Payroll Manager | Everything above, plus the configuration — structures, rules, salary components, rule parameters and brackets — and the right to reopen a confirmed payslip. |

### WATCH OUT

A confirmed payslip is a document: its amounts, its employee and its period do not change any more. Only a payroll manager can reopen one, and the trail of what changed stays on the record. Resist the temptation to hand that group to everybody.

## 1.3 Finding your way around

Everything lives in the **Payroll** application:

| MENU              | WHAT IS IN IT                                                                                                      |
|-------------------|--------------------------------------------------------------------------------------------------------------------|
| Employee Payslips | The payslips themselves.                                                                                           |
| Payslips Batches  | A batch per period, holding the payslips of that run.                                                              |
| Employees         | The employees and their contracts.                                                                                 |
| Reporting         | Payroll analysis, and the contribution register report.                                                            |
| Configuration     | Salary components, salary rules and structures, rule parameters, salary brackets, contract types and the settings. |

# Setting payroll up

## 2.1 The order to do it in

1. **Salary components** — the allowances and deductions you pay besides the wage.
2. **Rule parameters and salary brackets** — the rates and the tax tables, dated.
3. **Salary rules and the structure** — how the net is computed from all of it.
4. **Employees and contracts** — the wage of each person and the components that apply to them.
5. **Accounts and journal** — only if Payroll Accounting is installed (part 5).

### TIP

Do not start by writing Python in salary rules. Almost everything a payroll needs — an allowance, a deduction, a rate that changes each year, a progressive tax — is expressible with the components, the parameters and the brackets below, which anyone in the payroll team can maintain without a developer.

## 2.2 Salary components

**Configuration › Salary Components.** A component is something the company pays, or takes off, besides the wage: housing, transport, a meal allowance, the repayment of an advance.

1. Create the component with a **code** — the code is what the rules read it by — and put it in a **category**:  
Allowance for what is added, Deduction for what is taken off.
2. Give it a **default amount** if it is the same for most people.
3. Leave the company empty to share the component across every company of the group.
4. On each employee's contract, add the components that apply and set the amount where it differs.

The Allowances and Deductions rules then pick them up on their own, by category. Adding a new allowance never means touching a rule.

| Payroll Employee Payslips Payslips Batches Employees Reporting Configuration |           |           |                |
|------------------------------------------------------------------------------|-----------|-----------|----------------|
| New Salary Components                                                        |           | Search... | 1-4 / 4        |
| <input type="checkbox"/> Name                                                | Code      | Category  | Default Amount |
| <input type="checkbox"/> Housing                                             | HOUSING   | Allowance | \$ 0.00        |
| <input type="checkbox"/> Transport                                           | TRANSPORT | Allowance | \$ 0.00        |
| <input type="checkbox"/> Meal                                                | MEAL      | Allowance | \$ 0.00        |
| <input type="checkbox"/> Advance Repayment                                   | ADVANCE   | Deduction | \$ 0.00        |

*Salary components: what the company pays besides the wage, described once.*

## 2.3 Rates that change: rule parameters

**Configuration › Rule Parameters.** A parameter holds a rate or an amount that the law changes from time to time — a pension rate, a ceiling, an allowance fixed by decree.

1. Create the parameter with a code, e.g. `PENSION_RATE`.
2. Add a **value with a date**. When the rate changes next year, add another value with the new date; the old one stays.
3. A rule reads it with `parameters.PENSION_RATE`, and gets the value that applied on the date of the payslip.

### TIP

This is what keeps last year's payslips correct. A rate written inside a rule changes history the moment you edit it; a dated parameter does not.

## 2.4 Tax tables: salary brackets

**Configuration › Salary Brackets.** A bracket is a table of bands, and it computes a progressive tax without a line of code.

| COMPUTATION | WHAT IT DOES                                                                                            |
|-------------|---------------------------------------------------------------------------------------------------------|
| Marginal    | Each slice is taxed at the rate of its own band, as the income tax of most countries works.             |
| Excess      | The fixed amount of the band the income falls in, plus the rate of that band on what exceeds its floor. |
| Flat        | The rate of the band the income falls in, applied to the whole amount.                                  |

1. Create the bracket with a code, e.g. `INCOME_TAX`, and choose the computation.
2. Add a **table** with a start date and its bands: from, to, rate, and a fixed amount if the computation uses one.
3. A rule computes the tax with `brackets.INCOME_TAX` on the base you give it.
4. Next year, add a new table with the new date. Several tables can run in parallel through the **key**, for the statuses that are taxed differently — married, single, resident, non-resident.

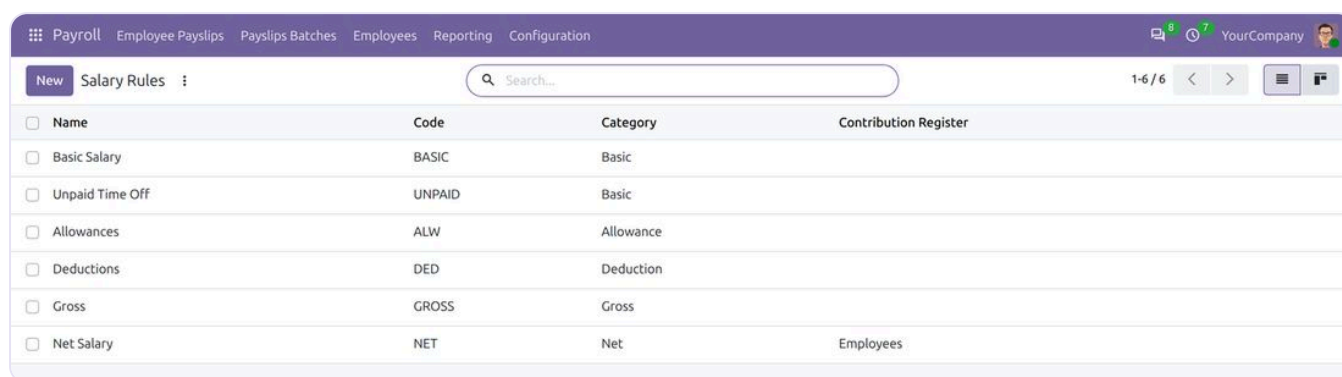
## 2.5 Salary rules and structures

**Configuration › Salary Rules**, and the structure that groups them.

The shipped structure already computes Basic, Unpaid Time Off, Allowances, Deductions, Gross and Net. Most companies add rules to it rather than start from nothing.

## ON EACH RULE

|                              |                                                                              |
|------------------------------|------------------------------------------------------------------------------|
| <b>Condition</b>             | Always true, a range on an amount, or a line of Python.                      |
| <b>Amount</b>                | A fixed amount, a percentage of something else, or computed in Python.       |
| <b>Category</b>              | Basic, Allowance, Deduction, Gross, Net — what the payslip totals by.        |
| <b>Sequence</b>              | The order they are computed in: a rule can use the result of an earlier one. |
| <b>Appears on Payslip</b>    | Turn it off for the intermediate rules nobody should see.                    |
| <b>Contribution Register</b> | Groups what is owed to a body, for the register report.                      |



| Name            | Code   | Category  | Contribution Register |
|-----------------|--------|-----------|-----------------------|
| Basic Salary    | BASIC  | Basic     |                       |
| Unpaid Time Off | UNPAID | Basic     |                       |
| Allowances      | ALW    | Allowance |                       |
| Deductions      | DED    | Deduction |                       |
| Gross           | GROSS  | Gross     |                       |
| Net Salary      | NET    | Net       | Employees             |

The salary rules of the structure.

## 2.6 Employees and contracts

1. Create the employee, then the **contract** (the employment version) with its start date and its **wage**.
2. Set the **salary structure** on it.
3. Add the **salary components** that apply to this person, with their amounts.
4. Check the **working schedule**: it decides how many days and hours a period is expected to hold.

### WATCH OUT

A payslip can only be computed for a period the contract covers. If an employee is missing from a batch, the contract is the first place to look: it has not started, it has already ended, or it is not running.

## PART 3

# Running the payroll

### 3.1 One payslip

Employee Payslips › New.

1. Pick the employee and the period. The contract, the structure and the worked days fill in.
2. Check the **Worked Days & Inputs** tab: the days and hours due, and the time off taken out of them.
3. Add anything that changes this month under **Other Inputs**: overtime, a bonus, a one-off deduction.
4. **Compute Sheet**. The **Salary Computation** tab fills with one line per rule, showing the quantity, the rate and the amount each came from.
5. Read the **Details by Category** tab for the totals, then **Confirm**.

The screenshot shows the Odoo Payroll interface for creating a new payslip. The top navigation bar includes 'Payroll', 'Employee Payslips', 'Payslips Batches', 'Employees', 'Reporting', and 'Configuration'. The main header shows 'New Employee Payslips' and 'Salary Slip of Abigail Peterson for August-2026'. Below this, there are buttons for 'Register Payment', 'Send by Email', 'Refund', and 'Cancel'. The 'Salary Computation' tab is active, displaying a table with the following data:

| Name            | Code   | Category  | Quantity | Rate (%) | Rule            | Amount   | Total    |
|-----------------|--------|-----------|----------|----------|-----------------|----------|----------|
| Basic Salary    | BASIC  | Basic     | 1.00     | 100.00   | Basic Salary    | 4,200.00 | 4,200.00 |
| Unpaid Time Off | UNPAID | Basic     | 1.00     | 100.00   | Unpaid Time Off | 0.00     | 0.00     |
| Allowances      | ALW    | Allowance | 1.00     | 100.00   | Allowances      | 1,060.00 | 1,060.00 |
| Deductions      | DED    | Deduction | 1.00     | 100.00   | Deductions      | 0.00     | 0.00     |
| Gross           | GROSS  | Gross     | 1.00     | 100.00   | Gross           | 5,260.00 | 5,260.00 |
| Net Salary      | NET    | Net       | 1.00     | 100.00   | Net Salary      | 5,260.00 | 5,260.00 |

On the right side, there is a chat window with a message from 'OdooBot' at 3:21 PM stating 'Pay Slip created'.

A computed payslip: basic, allowances, deductions, gross and net.

### 3.2 Worked days and time off

The days and hours come from the working schedule of the contract; the time off of the period is taken out and listed on its own line, at the rate its type is paid.

- A time off type marked unpaid in the Time Off application is not paid, whatever its rate.
- Others can be paid in full, in half, or at any rate you set on the type.

- The **Unpaid Time Off** rule takes the unpaid part off the salary by itself.
- A contract amended in the middle of a period is used as amended: one payslip is always computed from a single version.

Employee: **Abigail Peterson**

Salary Slip of Abigail Peterson for August-2026

Period: Aug 1 to Aug 31

Reference: SLIP/004

Employment: Aug 1, 2026

Version/Contract

Structure: Base for new structures

Credit Note: ☐

Worked Days & Inputs

| Description                      | Code    | Number of ... | Number of ... | Time Type | Paid Rate | Version/Co... | ⚙ |
|----------------------------------|---------|---------------|---------------|-----------|-----------|---------------|---|
| Normal Working Days paid at 1... | WORK100 | 21.00         | 168.00        |           | 100%      | Aug 1, 2026   |   |
|                                  |         | 21.00         |               |           |           |               |   |

OTHER INPUTS

| Description | Code | Amount | Version/Contract |
|-------------|------|--------|------------------|
|             |      |        |                  |

Worked days and other inputs on the payslip.

### 3.3 The whole month: batches

**Payslips Batches** › **New**. This is how a payroll is normally run.

1. Name the batch and set the period, e.g. *Salaries August 2026*, 1 to 31 August.
2. **Generate Payslips** and choose the employees — everyone, a department, or a selection.
3. The payslips are created and computed together. An employee without a running contract in the period is reported rather than skipped in silence.
4. Check the batch: every payslip is listed with its status and its net.
5. **Confirm** the batch. With Payroll Accounting installed this is also where the accounting entry is produced (part 5).
6. **Send Payslips by Email** sends each employee their own.

Payroll

Employee Payslips

Payslips Batches

Employees

Reporting

Configuration

8

7

YourCompany

New

Payslips Batches

Search...

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| <input type="checkbox"/> | Name                    | Date From | Date To | Salary Journal           | Credit Note              | Status |
|--------------------------|-------------------------|-----------|---------|--------------------------|--------------------------|--------|
| <input type="checkbox"/> | Salaries August 2026    | Aug 1     | Aug 31  | Miscellaneous Operations | <input type="checkbox"/> | Done   |
| <input type="checkbox"/> | Salaries September 2026 | Sep 1     | Sep 30  | Miscellaneous Operations | <input type="checkbox"/> | Draft  |

*Payslip batches, one per period.*

### 3.4 Corrections

| SITUATION                       | WHAT TO DO                                                                                                                                          |
|---------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------|
| The payslip is still a draft    | Change what is wrong and compute it again.                                                                                                          |
| It is confirmed but not paid    | A payroll manager sets it back to draft, corrects it, and confirms it again.                                                                        |
| It is confirmed and paid        | <b>Refund</b> it: a credit note payslip is created with the opposite amounts, and the correct one is issued next to it. The history stays readable. |
| Something is wrong for everyone | Fix the rule or the parameter, then recompute the batch. Nothing is recomputed behind your back.                                                    |

# What payroll produces

## 4.1 The payslip document

Two printed reports come with a payslip:

- **Payslip** — the document for the employee: the worked days, the lines that appear on the payslip and the net.
- **Payslip Details** — every line including the intermediate rules, for the payroll file.

**Send by Email** attaches the payslip to a message to the employee, using the mail template that ships with the module. Adjust the wording once and every payslip follows it.

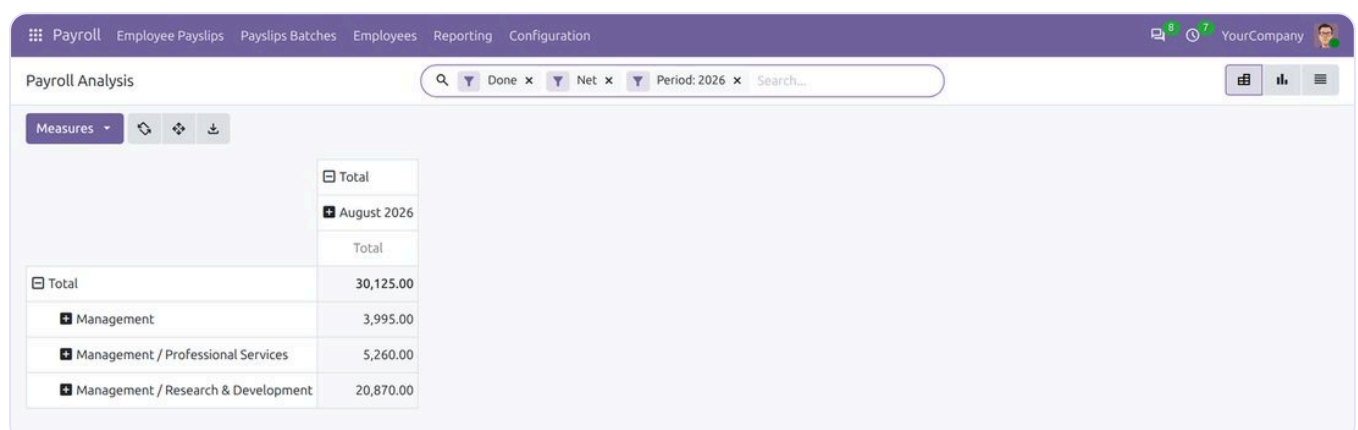
## 4.2 Contribution registers

A contribution register groups what is owed to one body — a pension fund, a tax office, a health insurer. Put the register on the rules that feed it, then print **Reporting › Payslip Lines by Contribution Register** for a period to get exactly what has to be declared and paid to that body.

## 4.3 Payroll analysis

**Reporting › Payroll Analysis** is a pivot and a graph over the payslip lines: the net, the gross or any category, by month, by department, by employee or by rule.

- Confirmed payslips only, or the drafts as well.
- Exported to a spreadsheet from the pivot.
- The quickest answer to “what did payroll cost us this quarter, by department?”



*Payroll analysis: the net by department.*

## PART 5

# Payroll in the books

### 5.1 Setting the accounts

#### GOOD TO KNOW

This part needs **Odoo 20 HR Payroll Accounting** ( `om_hr_payroll_account` ).

Give each salary rule the accounts it posts to, under the **Accounting** tab of the rule.

| RULE         | DEBIT                        | CREDIT                                      |
|--------------|------------------------------|---------------------------------------------|
| Basic Salary | Wages and salaries (expense) | Salaries payable                            |
| Allowances   | Allowances (expense)         | Salaries payable                            |
| Deductions   | Salaries payable             | What is owed to the body that collects them |
| Net Salary   | Salaries payable             | Salaries payable                            |

- A rule with no account is simply not posted, which is what you want for the intermediate rules.
- Set the **salary journal** on the company; a payslip or a batch can override it.
- The accounts are set per company, so each company of a group posts to its own chart.

The screenshot shows the Odoo 20 Payroll Accounting interface. The top navigation bar includes 'Payroll', 'Employee Payslips', 'Payslips Batches', 'Employees', 'Reporting', and 'Configuration'. The user is logged in as 'YourCompany'. The main content area displays the 'Basic Salary' rule configuration. The 'Name' field is 'Basic Salary'. The 'Category' is 'Basic'. The 'Code' is 'BASIC'. The 'Sequence' is '1'. The 'Appears on Payslip' checkbox is checked. The 'Accounting' tab is selected, showing the 'Debit Account' as '600010 Wages and Salaries' and the 'Credit Account' as '210010 Salaries Payable'. The 'Tax' field is empty. A chat window on the right shows a message from 'OdooBot' at 3:16 PM stating 'Salary Rule created'.

*The debit and credit accounts of a salary rule.*

## 5.2 The entry of a payslip

Confirming a payslip writes its accounting entry. The **Other Information** tab shows the accounting date, the salary journal, the entry itself and where the payment stands.

- The entry is dated the last day of the period unless you set a date yourself.
- What is owed to the employee is written against that employee, so it can be reconciled with their payment.
- A rounding difference goes on its own adjustment line rather than unbalancing the entry.
- Cancelling a payslip takes its entry back with it.

The screenshot displays the Odoo Payroll interface for a specific payslip. The top navigation bar includes 'Payroll', 'Employee Payslips', 'Payslips Batches', 'Employees', 'Reporting', and 'Configuration'. The main header shows 'Employee Payslips' and 'Salary Slip of Abigail Peterson for August-2026'. Below this, there are buttons for 'Register Payment', 'Send by Email', 'Refund', and 'Cancel'. The 'Other Information' tab is selected, showing details for 'Abigail Peterson' and 'Salary Slip of Abigail Peterson for August-2026'. The 'Period' is 'Aug 1 to Aug 31', and the 'Reference' is 'SLIP/004'. The 'Employment' section shows 'Version/Contract' as 'Aug 1, 2026' and 'Structure' as 'Base for new structures'. The 'Accounting' section shows 'Payment Status' as 'Not Paid', 'Made Payment Order?' as an unchecked checkbox, 'Date Account' as 'Aug 31', 'Salary Journal' as 'Miscellaneous Operations', and 'Accounting Entry' as 'MISC/2026/08/0003 (SLIP/004)'. The 'Miscellaneous' section shows 'Payslip Batches'. On the right, there is a chat window with 'OdooBot' and a message 'Pay Slip created'.

*The accounting side of a payslip: journal, date, entry and payment status.*

## 5.3 One entry for a whole batch

Tick **Consolidated Entry** on a payslip batch and confirming it posts a single entry instead of one per payslip.

- The journal items of the same salary rule are added up — one line for the wages, one for the allowances, one for the deductions.
- What is owed to each employee keeps its own line, so each is still reconciled with their own payment.
- The books stay readable when the payroll runs to hundreds of payslips a month.
- Leave it unticked and every payslip keeps an entry of its own.

[Invoicing](#)
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[Accounting](#)
[Review](#)
[Reporting](#)
[Configuration](#)

[New](#)
Journal Entries  
MISC/2026/08/0004 (Salaries August 2026)

[Reverse Entry](#)
[Reset to Draft](#)
[No Review](#)
[Draft](#)
[Posted](#)
[Send message](#)
[Log note](#)
[Activity](#)

**MISC/2026/08/0004**

Reference: Salaries August 2026      Accounting Date: Aug 31  
Journal: Miscellaneous Operations

[Journal Items](#)
[Other Info](#)

| Account                           | Partner         | Description  | Debit               | Credit              | Tax Grids |  |
|-----------------------------------|-----------------|--------------|---------------------|---------------------|-----------|--|
| 600010 Wages and Salaries         |                 | Basic Salary | \$ 20,100.00        | \$ 0.00             |           |  |
| 210010 Salaries Payable           |                 | Basic Salary | \$ 0.00             | \$ 20,100.00        |           |  |
| 600020 Allowances                 |                 | Allowances   | \$ 5,165.00         | \$ 0.00             |           |  |
| 210010 Salaries Payable           |                 | Allowances   | \$ 0.00             | \$ 5,165.00         |           |  |
| 210010 Salaries Payable           |                 | Net Salary   | \$ 24,865.00        | \$ 0.00             |           |  |
| 210010 Salaries Payable           | Sharlene Rhodes | Net Salary   | \$ 0.00             | \$ 3,995.00         |           |  |
| 210010 Salaries Payable           | Randall Lewis   | Net Salary   | \$ 0.00             | \$ 5,720.00         |           |  |
| 210010 Salaries Payable           |                 | Deductions   | \$ 0.00             | \$ 400.00           |           |  |
| 210020 Payroll Deductions Payable |                 | Deductions   | \$ 400.00           | \$ 0.00             |           |  |
| 210010 Salaries Payable           | Keith Byrd      | Net Salary   | \$ 0.00             | \$ 4,140.00         |           |  |
| 210010 Salaries Payable           | Jennie Fletcher | Net Salary   | \$ 0.00             | \$ 6,410.00         |           |  |
| 210010 Salaries Payable           | Anita Oliver    | Net Salary   | \$ 0.00             | \$ 4,600.00         |           |  |
|                                   |                 |              | <b>\$ 50,530.00</b> | <b>\$ 50,530.00</b> |           |  |

OdooBot 3:21 PM  
Journal Entry created

*The consolidated entry of a batch: the rules added up, the employees kept apart.*

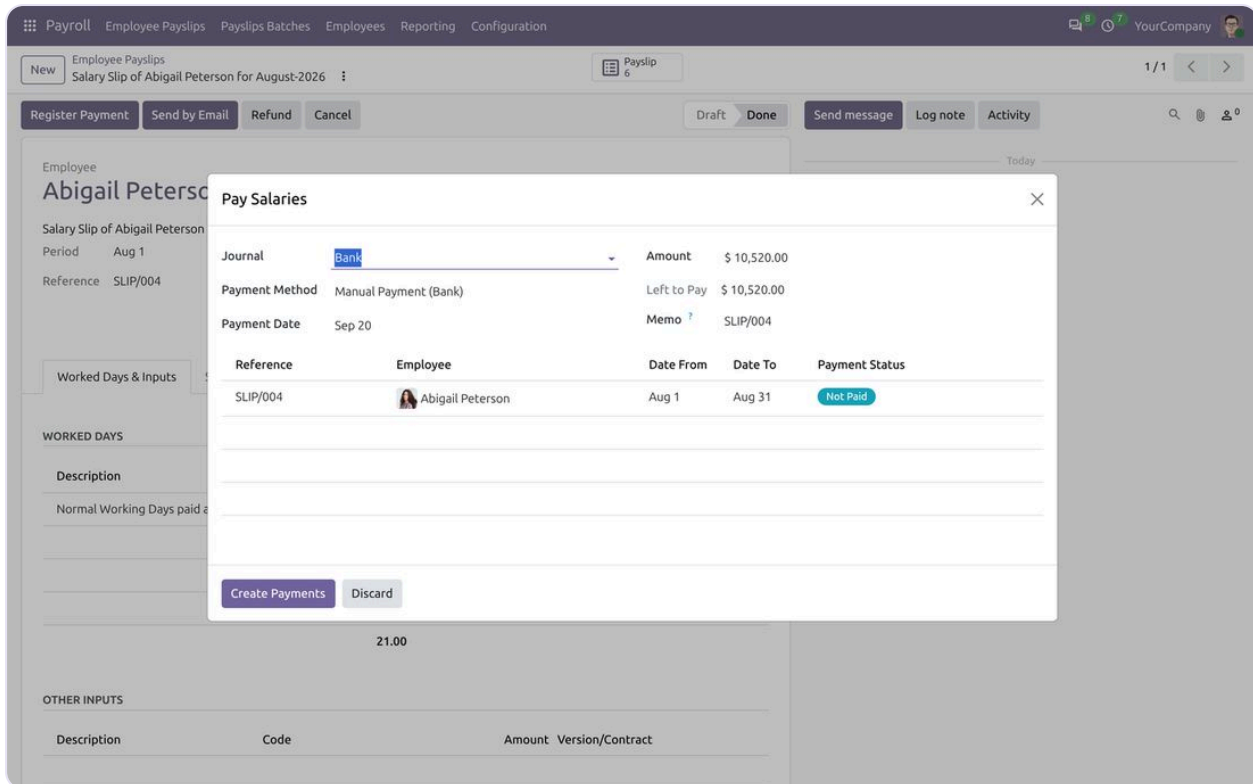
## 5.4 Paying the salaries

**Register Payment** on a confirmed payslip, or **Register Payments** on a whole batch.

1. Choose the journal, the payment method and the date once for the whole run.
2. The amount and what is left to pay are shown before anything is created.
3. The payments are created against the salaries payable of each employee and reconciled with them.
4. The payslip turns Not Paid, Partially Paid or Paid by itself, from what has been reconciled.

### WATCH OUT

**If the payslips stay In Payment instead of turning Paid**, the outstanding account of the journal is the reason, not payroll. A journal whose payment method points at a separate *Outstanding Payments* account holds the money there until the bank transaction is reconciled with it. Point the outstanding account at the bank account itself and the payslip turns Paid as soon as the payment is created. An outstanding account left **empty** is worse: the payment is recorded but no journal entry is written at all, so nothing reaches the books. Both are set on the journal, under Incoming and Outgoing Payments.



*Paying the salaries of the selected payslips.*

# Routines and checks

## 6.1 The monthly run

- ✓ Check the joiners and leavers: new contracts started, ended contracts closed.
- ✓ Check the time off of the period is approved — it drives the unpaid days.
- ✓ Collect the variable inputs: overtime, bonuses, advances, one-off deductions.
- ✓ Create the batch, generate and compute the payslips.
- ✓ Compare the totals with last month before confirming; a jump in one department usually means an input, not a bug.
- ✓ Confirm the batch and check the accounting entry balances.
- ✓ Register the payments and check every payslip turns Paid.
- ✓ Send the payslips by email.
- ✓ Print the contribution registers and pay the bodies.

## 6.2 The yearly run

- ✓ Add the new tables to the salary brackets and the new values to the rule parameters, dated the first day of the new year.
- ✓ Check the rules that read them still make sense against the new law.
- ✓ Recompute a test payslip for a known employee and compare it with a hand calculation before the first run.
- ✓ Archive the components and rules you no longer use rather than deleting them.

### 6.3 When a figure looks wrong

| SYMPTOM                               | WHERE TO LOOK                                                                                                   |
|---------------------------------------|-----------------------------------------------------------------------------------------------------------------|
| An employee is missing from the batch | The contract does not cover the period, or it is not running.                                                   |
| The basic salary is too low           | Unpaid time off in the period, or a working schedule that does not match the contract.                          |
| An allowance does not appear          | The component is not on the contract, or its category is not the one the Allowances rule collects.              |
| A tax is computed on the wrong figure | The base given to the bracket, and the sequence of the rules — a rule can only use what was computed before it. |
| Last year's payslip changed           | A rate was edited inside a rule instead of being added as a dated parameter value.                              |
| The payslip will not go back to draft | It is confirmed: only a payroll manager can reopen it.                                                          |
| No accounting entry was created       | Payroll Accounting is not installed, or no rule carries accounts.                                               |
| The payslip stays Not Paid            | The payment was not reconciled with the salaries payable line of that employee.                                 |

### 6.4 Getting help

Both modules are free and open source under LGPL-3. Write to [odoomates@gmail.com](mailto:odoomates@gmail.com) if something is wrong or missing — and contribute the fix back if you can, so the next person gets it too.